# France: catalysts to watch for a reversal in spreads

**Rates Strategy**

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French spreads came under significant pressure this week, with the 10-year OAT–Bund spread widening by more than 30bp. The move is difficult to attribute to any single, material catalyst: there were no meaningful new developments on the budget/fiscal front, nor a clear shift in 2027 presidential polling that would, on its own, justify the magnitude of the repricing. In our view, the driver was a further deterioration in already-fragile sentiment toward France that has been building since late summer amid ongoing fiscal and political noise. Last weekend's protests likely added to that negative tone which combined with positioning/technicals, another round of anecdotal front-end France washouts, and thin liquidity/market depth, likely explains the outsized widening.

The 10Y France-Germany spread is now trading around 55bp too wide on our sovereign risk framework, which in our view reflects a mix of political uncertainty risk premia and residual mispricing (**Figure 1**). As highlighted in our recent publications, historically, Italian spreads have traded quite cheap on our sovereign risk index, on average around 60bp cheap over a long history and around 50bp since 2014 (**Figure 2**), likely reflecting political risk premia, in addition to other factors. Under PM Meloni, that cheapness has largely corrected, which we attribute to improved political stability and fiscal discipline. We are not arguing that the current political/fiscal landscape in France is directly comparable to Italy's earlier regimes. However, it is plausible that French spreads could continue to screen cheap on this framework until there is greater evidence of political stability and fiscal discipline.

Our view remains that it is still too early to position for specific 2027 Presidential election scenarios, and that the 2027 budget process may ultimately prove less noisy than feared. That said, **there is a clear expectation among investors that French political headlines will remain choppy over the coming months, and the recent bout of social unrest has further weighted on risk sentiment. In our view, this, alongside elevated volatility in broader global rates and geo-political uncertainty, continues to keep investors cautious on France, despite attractive valuations**.

**See page 5 for analyst certification and important disclosures.**



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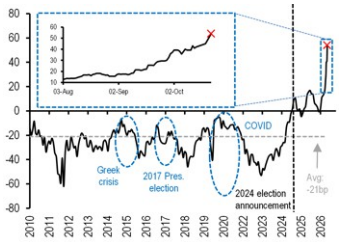
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**Figure 1: 10Y France vs. Germany spread is now trading around 55bp too wide on our sovereign risk framework**

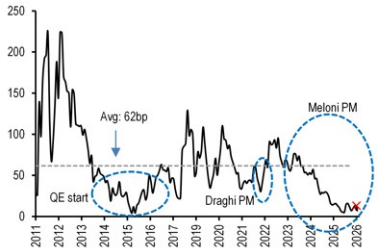
J.P. Morgan sovereign risk model residual evolution for 10Y France-Germany spread; bp




Note: For info, the details of the Sovereign Risk Index methodology can be found at this link (Euro Cash 2H26 *Outlook*)
Source: J.P. Morgan

**Figure 2: Italy has historically traded quite cheap on our sovereign risk framework but has richened since Meloni became PM**

J.P. Morgan sovereign risk model residual evolution for 10Y Italy-Germany spread; bp




Note: For info, the details of the Sovereign Risk Index methodology can be found at this link (Euro Cash 2H26 *Outlook*)
Source: J.P. Morgan

**What could stabilise, and eventually reverse, the French widening?**

We will be watching the factors below. In our view, it will likely take some combination of several these to break the current disruptive spread widening dynamics:

**1) France fiscal policy / politics**

On the fiscal side, a swift approval of the 2027 budget, ideally with a deficit objective close to 5.0% of GDP, would likely help to ease near-term concerns around political noise and implementation risk. On the 2027 presidential election, a clearer consolidation of centrist support in the polls (reducing perceived tail risk around a Mélenchon second-round scenario and increasing the probability of a Le Pen vs centrist run-off) would likely be spread-supportive at the margin.

**2) A broader euro rates rally (and improved spread "directionality")**

As we have highlighted previously, the broader intra-EMU widening that started in late summer initially coincided with higher yields, as markets repriced higher ECB terminal rates and a higher medium-term neutral rate amid rising energy prices. However, since late September that positive directionality has weakened as tighter financing conditions via wider spreads can reduce the magnitude of additional ECB tightening and can also challenge the repricing of the neutral rate on the back of growth resilience (**Figure 3**). From a sustainability perspective, spread widening alongside a broader rates sell-off is more concerning than widening in an environment where risk-free rates are rallying. Any signs that wider spreads/ higher yields are impacting PMIs or output and confidence data would be a marker to watch.

**3) ECB policy signaling and/or intervention**

As discussed by our economists in *Will the ECB ride to the rescue?*, G. Fuzesi, 2 October, the intervention threshold (in yields/spreads and in speed-of-move terms) is highly context-dependent and can shift. In our view, a combination of both the level of spreads and pace of spread widening is very relevant triggering any response. If widening continues, especially in the absence of a clear new fiscal/political catalyst, we would expect any initial ECB response to be verbal (monitoring language; reaffirming readiness to act; signaling "tools in the toolbox"). As the economists' note discusses, TPI for France is not straightforward, but other options could become relevant if pressures intensify (e.g., tapering/pausing QT, new TLTROs in the event of banking stress, and,if needed, potential new instruments tailored to the shock).



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**4) Investor demand returning / domestic bid re-emerging**

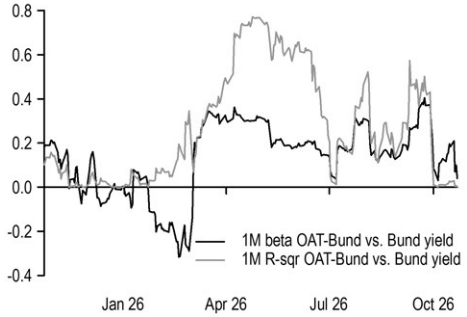
The consistent message from our recent client conversations is that we have found virtually no appetite to "catch the falling knife," despite attractive valuations of French spreads vs. fundamentals. Investors appear content to stay on the sidelines for now, with many likely to re-engage only once price action stabilises and momentum turns. In past episodes of acute EGB stress, domestic investors have often eventually stepped in, absorbing supply/sales that were dominated by more price-sensitive non-domestic flows. Also looking at the previous French political noise episodes in 2024-2025, we note that, among domestics, French banks and insurers remained cautious or even reduced their exposure to OATs after Macron's call for snap elections in summer 2024 and Bayrou's government crisis in September 2025. However, this was a temporary set-back as they returned to being net buyers several months later (**Figure 4**).

**5) Technicals: cleaner positioning / momentum turning**

A more durable stabilisation would also be helped by cleaner positioning (less forced de-risking) and a shift in momentum/CTA signals—potentially driven by a broader euro rates rally even if spreads remain wide initially.

**Figure 3: The sensitivity of French spreads to the level of yields has collapsed since late September**

1M rolling R-squared and beta of daily changes of 10Y France-Germany par rate spread regressed against daily changes of 10Y German par rate; %




Source: J.P. Morgan



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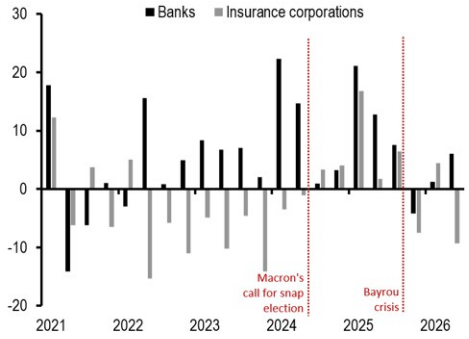
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**Figure 4: Immediately after the 2024-2025 political noise episodes, French banks and insurers remained cautious or even reduced their exposure to OATs, but returned net buyers several months later**

Quarterly transactions of French MFIs and insurance corporations in domestic (general) government debt securities; €bn




Note: Latest data as of June 2026
Source: France BoP, Japan BoP, J.P. Morgan



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